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September 16, 2016					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO. 1953(I)

KAIRAT NURGAZINOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

ORDER DENYING WITHOUT PREJUDICE MOTIONS TO DISQUALIFY COUNSEL

Shortly after these cases began, I issued an order striking a request for relief made by email rather than by written motion.

On December 29, 2015, counsel for Complainants sent an email to the email address for this office with an attached "Status Report and Request for Notice of Default." Counsel copied the Commission's Secretary on the email.

On November 24, 2015, the undersigned issued an Initial Order controlling certain aspects of this proceeding. *Inter alia*, the Initial Order states: "Any request for action by the Commission or presiding officer must be made by motion, not by

letter or email request.” *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 15-11, Order ¶ 14 (Nov. 24, 2015) (Initial Order). I note that there is no certificate of service in the email or the attachment indicating that the Status Report and Request for Notice of Default was served on Respondents. *See* 46 C.F.R. § 502.114. In consideration of the foregoing, it is hereby

ORDERED that the Status Report and Request for Notice of Default be **STRICKEN** for failure to comply with the Commission’s Rules of Practice and Procedure and the Initial Order.

Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd., FMC No. 15-11, Order ¶ 14 (ALJ Dec. 30, 2015) (Order Striking Letter Motion).

Despite the Initial Order and the December 30, 2015, Order, the parties have liberally used email to argue their positions on substantive and procedural matters. *See, e.g., Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ Apr. 22, 2016) (Order Enlarging Time to Respond to Motion for Stay) (describing arguments made in emails). *See also* Email thread of April 28, 2016, among Respondents’ counsel Eric C. Jeffrey (Jeffrey), the Secretary, and Complainants’ counsel Marcus Nussbaum (Nussbaum) regarding Jeffrey’s inquiry of the Secretary regarding back-up plans for time-sensitive matters when the presiding officer is not available; Email thread of June 15, 2016, among Jeffrey, the Secretary, and Nussbaum regarding Respondents’ misnamed response to Complainants’ motion to compel; Email thread of June 24-27, 2016, among Jeffrey, the Secretary, and Nussbaum regarding Jeffrey’s associate. The email comments included *ad hominem* attacks on counsel and assistants to counsel, reflecting the apparent deterioration in the relationship between counsel.

On June 29, 2016, I entered a second order referencing this paragraph of the Initial Order.

Paragraph 14 of the Initial Order states: “Any request for action by the Commission or presiding officer must be made by motion, not by letter or email request.” *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 15-11, Order ¶ 14 (Nov. 24, 2015) (Initial Order). Counsel for both parties have included inappropriate requests for relief in emails to which are attached documents submitted to the Secretary for filing. The documents submitted have been filed. The parties are advised that the comments in the emails are not considered part of the record and will not be considered when ruling on the merits of these proceedings. The Secretary will maintain the emails as correspondence.

I note that this is the *second* order in this proceeding referencing Paragraph 14 of the Initial Order and inappropriate comments in emails. *See Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov,*

Empire United Lines Co., Inc., and Carcont, Ltd., FMC No. 15-11 (Dec. 30, 2015) (Order Striking Letter Motion). The parties are admonished not to include inappropriate comments in their emails to the Secretary.

Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd., FMC No. 15-11 (ALJ June 29, 2016) (Notice to Parties Regarding Email Submissions).

The relationship between counsel continued to deteriorate until each filed a motion to disqualify the other. On September 7, 2016, counsel for Respondents filed a Motion of Respondents' Counsel for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission. The motion cites Commission Rule 26, which states: "An attorney practicing before the Commission is expected to conform to the standards of conduct set forth in the American Bar Association's Model Rules of Professional Conduct in addition to the specific requirements of this chapter." 46 C.F.R. § 502.26. The motion then sets forth several provisions of the Model Rules allegedly violated by Complainant's counsel. On September 8, 2016, counsel for Complainants filed Complainants' Cross-motion for an Order to Show Cause as to Why the Commission Should Not Suspend Eric Jeffrey, Esq. From Practicing Before the Commission for a Period of Not less than Six Months and as to Why He Should Not Be Personally Removed as Counsel for the Respondents; and Response to Respondents' Motion for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission. The Cross-motion denies the claims in Respondents' counsel's motion and alleges that counsel for Respondents is unfit to practice law and should be disqualified from practicing before the Commission.

I take official notice, 46 C.F.R. § 502.226, that Complainants' counsel Nussbaum and Respondents' counsel Jeffrey are each involved in other proceedings pending before the Office of Administrative Law Judges or the Commission itself. *See, e.g., MAVL Capital Inc., IAM AL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dmitry Alper*, FMC No. 16-16 (Nussbaum – pending before this administrative law judge); *Crocus Investments, LLC and Crocus, FZE v. Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group Inc. (Crocus v. MTL)*, FMC No. 15-04 (Nussbaum – pending before the Commission); *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (Nussbaum – pending before the Commission); *Landers Brothers Auto Group, Inc. d/b/a Landers Honda (Jonesboro), et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-11 (Jeffrey – pending before another administrative law judge); *Rush Truck Centers of Arizona, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-10 (Jeffrey – pending before another administrative law judge); *Jill M. Alban, et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-07 (Jeffrey – pending before another administrative law judge); *Cargo Agents, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-01 (Jeffrey – pending before another administrative law judge). Each may have other matters pending before other offices in the Commission.

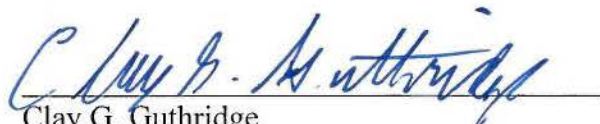
Both motions seek disqualification of counsel from appearing before the Commission. By necessity, this would include disqualifying counsel from appearing in matters that are not only before another administrative law judge, but before the Commission itself. These claims should be directed to the Commission, not to an administrative law judge in an individual case. Therefore, I will deny the motions without prejudice to the parties presenting the arguments to the Commission in a more appropriate manner.

I note that the knowledge claimed by counsel may impose on that counsel an obligation to report the information to a state bar licensing authority for appropriate action.

ORDER

Upon consideration of Motion of Respondents' Counsel for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission and Complainants' Cross-motion for an Order to Show Cause as to Why the Commission Should Not Suspend Eric Jeffrey, Esq. From Practicing Before the Commission for a Period of Not less than Six Months and as to Why He Should Not Be Personally Removed as Counsel for the Respondents; and Response to Respondents' Motion for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission, and for the reasons stated above, it is hereby

ORDERED that the motions be dismissed without prejudice to presenting them to the Commission in a more appropriate manner.


Clay G. Guthridge
Administrative Law Judge